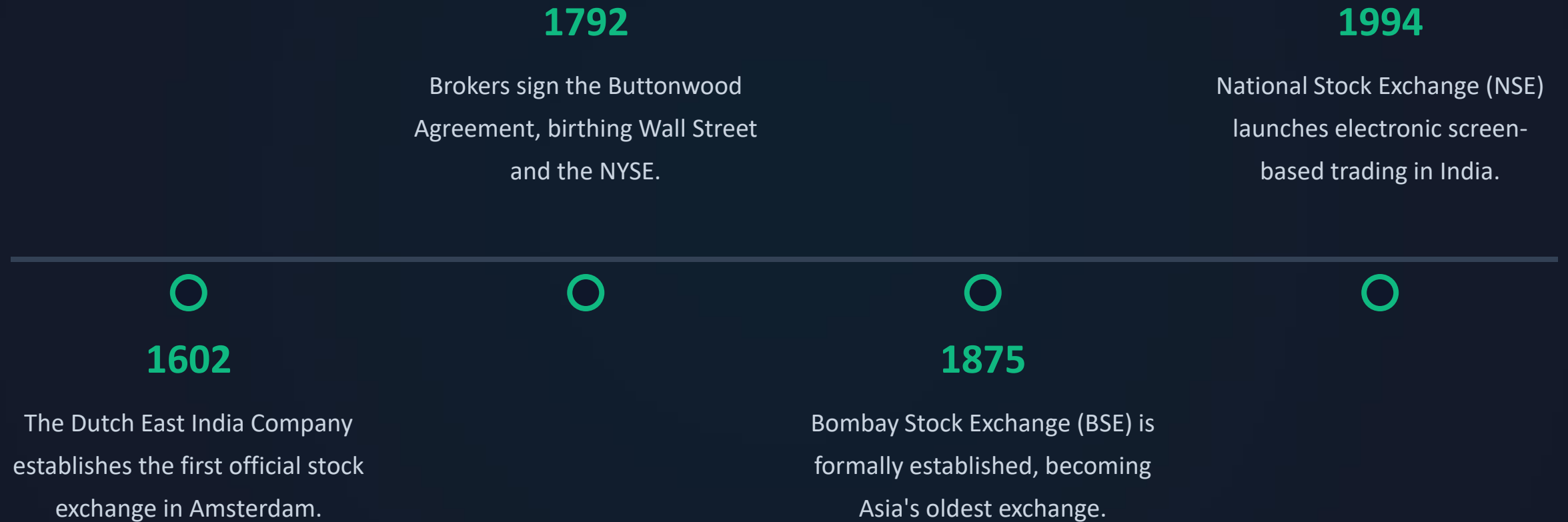


▶ Masterclass Day 2

History of the Stock Market

From Banyan Trees to Supercomputers. Welcome back!

Evolution of Stock Markets



The First Exchange: **Amsterdam**

In the early 1600s, global spice trade was highly lucrative but incredibly risky. Ships were expensive to build and frequently lost at sea.

- » **The Innovator:** The Dutch East India Company (VOC) decided to raise massive capital by inviting the general public to invest.
- » **The Concept:** Investors provided funds in exchange for a printed "share" of the company's future profits (The first IPO).
- » **The Exchange:** In 1602, the Amsterdam Stock Exchange was created solely to trade these VOC shares, pioneering modern finance.



The Rise of Wall Street

While Europe laid the foundation, America scaled it to unprecedented heights.

In 1792, a group of 24 prominent stockbrokers and merchants gathered outside 68 Wall Street in Manhattan, under a Buttonwood tree.

They signed an agreement to trade securities only among themselves and set fixed commission rates. This historic meeting birthed the New York Stock Exchange (NYSE), establishing the undisputed global capital of finance.



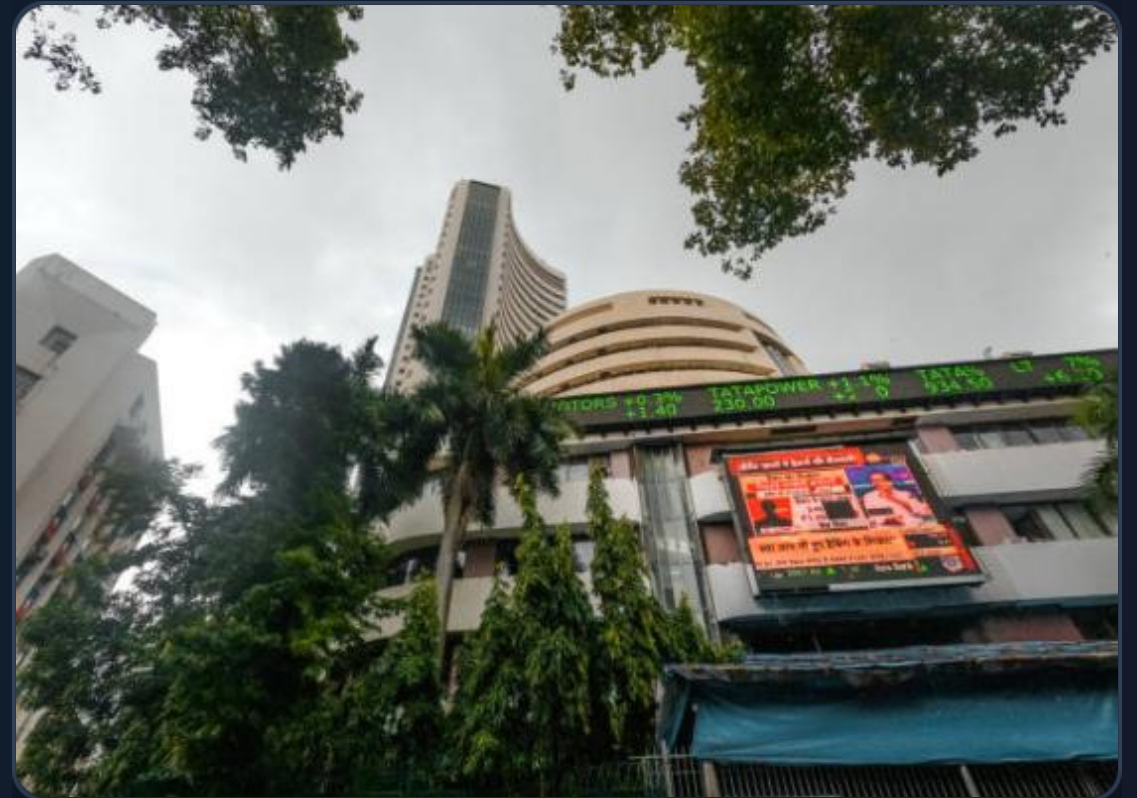
History of the Indian Stock Market

From informal gatherings of Gujarati and Parsi traders in the 1850s to a heavily regulated, multi-trillion dollar digital ecosystem today.

Bombay Stock Exchange (BSE)

The origins of the Indian stock market are humble, informal, and deeply rooted in trading communities.

- » **The Banyan Tree:** In the 1850s, stockbrokers would gather under banyan trees in front of Mumbai's Town Hall to trade.
- » **Formal Establishment:** In 1875, it was formally established as "The Native Share & Stock Brokers Association".
- » **The Legacy:** It is officially the oldest stock exchange in Asia. Today, it hosts over 5,000 listed companies—the highest in India.



National Stock Exchange (NSE)

The Electronic Pioneer

Established in 1992 and operational by 1994, the NSE completely revolutionized the Indian capital markets.

Before NSE, trading involved physical paper certificates and an "open outcry" system. NSE introduced a fully automated, screen-based electronic trading system, bringing absolute transparency and eliminating massive geographical barriers.

Market Dominance

Although much younger than the BSE, the NSE aggressively captured the market by focusing on modern technology.

Today, the NSE is the absolute heavyweight champion in terms of trading volume and liquidity. It handles over 90% of the total equity derivatives trading happening across India.

The BSE **SENSEX**

30

TOP COMPANIES

The Barometer of the Economy

SENSEX stands for "Sensitivity Index". Introduced in 1986, it was India's first ever equity index.

It doesn't track all 5000+ companies on the BSE. Instead, it measures the performance of the top 30 largest, most actively traded, and financially stable companies across key sectors.

Base Value: Its history dates back to the base year of 1978-79 with a starting point of just 100 points.

The NSE **NIFTY 50**



BLUECHIP STOCKS

The Modern Benchmark

Launched by the National Stock Exchange in 1996, the NIFTY is derived from combining "National" and "Fifty".

It tracks the weighted average of 50 of the largest and most liquid Indian companies listed on the NSE.

Significance: Due to NSE's massive trading volumes, the NIFTY 50 is heavily favored as the primary benchmark index by both domestic and foreign institutional investors.

Key Market Participants



Retail Investors (Us)

Individual investors and traders operating with their own personal capital. (e.g., You buying Reliance shares on your mobile app).



DIIs (Domestic Institutional Investors)

Large Indian financial entities managing massive pools of capital. Includes Mutual Funds, Insurance companies (like LIC), and local banks.



FIIs (Foreign Institutional Investors)

International investment funds, foreign pension funds, and major global banks that inject massive foreign capital into the Indian growth story.



Promoters

The founders, parent companies, or original large-scale shareholders who maintain significant controlling stakes in the listed businesses.

Great Job on Day 2!

Tomorrow: Primary Market vs Secondary Market

Don't forget to Like, Share, and Subscribe!

 / @EarnJoyOfficial